CLAIMIQ DEMO INSURANCE

AsterDrive Comprehensive Private Car Policy

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Synthetic training-free reference document for the ClaimIQ DTAI capstone prototype

IMPORTANT PROTOTYPE NOTICE

This document is a fictional, educational policy/SOP created for a student AI prototype. It is designed to resemble Indian private motor insurance practice but is not filed with IRDAI, not issued by a licensed insurer, and must not be sold, relied upon for real claim settlement, or presented as legal advice.

Prepared for retrieval-augmented generation (RAG), rule-engine testing and live application demonstration.

Document Map

The numbered clauses below are intentionally stable so that ClaimIQ can cite them as retrieval sources and rule-engine evidence.

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1. Purpose, Contract and Definitions

1.1 This Policy indemnifies the insured, subject to the Schedule, terms, exclusions and endorsements, for insured own-damage events affecting the private car and for statutory third-party liabilities arising from use of the insured vehicle.

1.2 The Policy Schedule, Certificate of Insurance, endorsements and this wording shall be read together. Where an endorsement conflicts with the base wording, the endorsement applies to the extent of that conflict.

1.3 Key definitions:

Term	Meaning
Accident	A sudden, unintended external event causing physical loss or damage.
IDV	The Insured Declared Value shown in the Schedule, used as the maximum reference value for total loss/constructive total loss, subject to policy terms.
Network Garage	A repairer empanelled by the insurer for cashless assessment and repair.
Partial Loss	A covered loss that does not meet the criteria for total loss or constructive total loss.
CTL	Constructive Total Loss. For this prototype policy, a vehicle is treated as CTL when the aggregate reasonable cost of retrieval and/or repair exceeds 75% of IDV.
Deductible	The amount borne by the insured for each admissible own-damage claim as shown in the Schedule.
Consumables	Items consumed during repair such as oils, coolant, grease, nuts, bolts, clips and similar items, unless specifically covered by endorsement.

Term	Meaning
Reasonable Repair Cost	A repair charge consistent with the nature of damage, necessary operations, approved parts and reasonable market/garage rates.

2. Policy Schedule and Eligibility

2.1 This wording applies to privately registered passenger cars used for social, domestic and pleasure purposes and incidental personal business use, unless the Schedule states otherwise.

2.2 The Schedule must state at minimum: policy number, insured name, vehicle registration, make/model/variant, year of manufacture, engine/chassis details, IDV, policy period, deductible, geographical area, add-ons and any special conditions.

2.3 Vehicles used for hire/reward, organised racing, speed testing, reliability trials, commercial carriage or other use outside the permitted use are not covered unless specifically endorsed.

2.4 Prototype Deductible Schedule

Vehicle category	Compulsory deductible per own-damage event
Private car up to 1,500 cc	₹1,000
Private car above 1,500 cc	₹2,000
Additional voluntary deductible	As selected in the Policy Schedule

Prototype note

The deductible values above are included as realistic demo assumptions for rule-engine behaviour. The active Policy Schedule is the controlling source for ClaimIQ.

3. Section I - Own Damage Cover

3.1 Subject to this Policy, the insurer will indemnify accidental physical loss of or damage to the insured vehicle and insured accessories caused by the following insured events:

- Fire, explosion, self-ignition or lightning.
- Burglary, housebreaking or theft.
- Riot and strike.
- Earthquake including fire and shock damage.
- Flood, storm, cyclone, typhoon, tempest, inundation, hailstorm and similar weather events.
- Accidental external means, including collision, impact and overturning.
- Malicious act or vandalism.
- Terrorist activity, subject to applicable law and policy conditions.
- Transit by road, rail, inland waterway, lift/elevator or air.
- Landslide or rockslide.

3.2 Towing / Protection and Removal

Where the vehicle is disabled by an insured event, reasonable and necessary expenses to protect and remove the vehicle to the nearest suitable repairer are covered up to ₹5,000 per event, unless a higher limit is shown in the Schedule.

3.3 Repair, Reinstate or Cash Settlement

The insurer may, at its option and subject to the claim circumstances, authorize repair, reinstate or replace damaged parts, arrange repairs through a network garage, or settle the admissible amount in cash. The insurer will not be liable for betterment or upgrades unless expressly agreed.

4. Depreciation and Assessment Rules

4.1 For partial-loss claims, admissible replacement-part cost is subject to depreciation unless an endorsement states otherwise.

Part/material	Depreciation applied to replacement cost
Rubber / nylon / plastic parts, tyres/tubes, batteries and airbags	50%
Fiberglass components	30%
Glass parts	Nil
Other parts including metal / wooden parts	Age-based schedule below

Age of vehicle	Depreciation on other parts
Not exceeding 6 months	0%
>6 months to 1 year	5%
>1 to 2 years	10%
>2 to 3 years	15%
>3 to 4 years	25%
>4 to 5 years	35%
>5 to 10 years	40%
Over 10 years	50%

4.2 Painting

For painting, 50% depreciation applies only to the material component of painting charges. Where a consolidated painting charge does not separately identify material, the material component will be treated as 25% of the consolidated painting charge for this prototype policy.

4.3 Repair vs Replacement

Where a damaged component can reasonably and safely be repaired, the insurer may assess on repair basis. Replacement is admissible where repair is unsafe, technically unsuitable, uneconomic or inconsistent with manufacturer repair guidance. A garage quote alone does not establish replacement necessity.

4.4 Betterment and Non-Accident Damage

Wear and tear, corrosion, pre-existing damage, mechanical/electrical breakdown and maintenance are not payable merely because they are discovered during accident repairs. Only the accident-related portion may be considered.

5. IDV, Total Loss and Constructive Total Loss

5.1 The IDV shown in the Policy Schedule is the reference sum insured for total-loss purposes during the policy period, subject to applicable conditions.

5.2 A claim may be treated as Total Loss where the vehicle is destroyed, stolen and not recovered within the applicable claims process, or otherwise irretrievably lost.

5.3 A claim may be treated as Constructive Total Loss when the aggregate reasonable cost of retrieval and/or repair exceeds 75% of the vehicle IDV.

5.4 Total-loss/CTL settlement shall ordinarily not exceed IDV, less applicable deductible and salvage/wreck value where the salvage is retained by the insured. Where salvage is taken over by the insurer, settlement mechanics may be adjusted accordingly.

5.5 For vehicles older than five years or obsolete/discontinued models, the IDV is as mutually agreed and recorded in the Schedule; ClaimIQ must not recalculate an alternative IDV during claim settlement.

6. Section II - Third-Party Liability

6.1 Subject to statutory requirements and Policy terms, the insurer will indemnify the insured against legal liability arising from use of the insured vehicle for death or bodily injury to third parties and damage to third-party property.

6.2 Third-party claims, court notices, police notices or summons must be forwarded to the insurer promptly. The insured must not admit liability, compromise or make payment on behalf of the insurer without written consent, except where required by law or emergency circumstances.

6.3 The statutory component of this cover is governed by the Motor Vehicles Act, 1988 and applicable rules, amendments and judicial orders. ClaimIQ MVP does not calculate third-party bodily injury compensation.

7. Optional Covers and Endorsements

The following may be purchased only if specifically shown in the Policy Schedule:

Endorsement	Prototype coverage summary
Voluntary Deductible	Insured elects a higher deductible in exchange for premium benefit; claim deduction equals compulsory + voluntary deductible.
Electrical/Electronic Accessories	Accidental loss to declared non-standard electrical/electronic accessories up to the insured value shown in Schedule.
CNG/LPG Kit	Accidental own damage to a declared bi-fuel kit up to the kit IDV shown in Schedule.
Geographical Extension	Extension to specifically named neighbouring territories subject to endorsement conditions.

8. General Exclusions

- Consequential loss unless expressly covered by endorsement.
- Depreciation, wear and tear, gradual deterioration, mechanical/electrical breakdown or failure.
- Damage to tyres/tubes alone; where the vehicle is damaged in the same accident, tyre/tube liability is limited to 50% of replacement cost unless endorsed otherwise.
- Loss while the driver is under the influence of intoxicating liquor or drugs, subject to applicable law and policy wording.
- Use outside permitted limitations as to use.
- Driving by a person not legally permitted to drive the vehicle, subject to statutory/legal interpretation.
- Loss outside the geographical area unless extended.
- Contractual liability not otherwise insured.
- War, invasion, civil war, mutiny, nuclear/radiation risks and other standard catastrophic exclusions.
- Pre-existing damage or unrelated damage discovered during repair.
- Fraudulent claim, forged evidence or deliberate material misrepresentation, subject to applicable law and due process.

9. Claim Conditions

9.1 The insured should notify the insurer as soon as reasonably practicable after an event likely to give rise to a claim and provide the information reasonably required for assessment. Delay will be evaluated on its reasons and effect on claim assessment; delay alone must not be treated as automatic proof of non-admissibility.

9.2 Theft, malicious damage or other apparent criminal acts should be reported to the police promptly and the insured must cooperate with reasonable investigation requirements.

9.3 The insured shall take reasonable steps to prevent further loss and shall not knowingly continue to drive a damaged vehicle where doing so can worsen the damage.

9.4 Except for emergency safeguarding measures, repairs should not materially alter the evidence before inspection/authorization where the insurer has requested inspection.

9.5 Documents may include claim form/intimation, policy/vehicle details, driving licence, registration certificate, repair estimate/job card, photographs, invoices, police record where applicable and any other document reasonably relevant to coverage or quantum.

10. Settlement Mechanics

10.1 Partial loss: reasonable and necessary repair/replacement cost, less non-covered items, applicable depreciation, deductible and any other policy adjustment.

10.2 Cashless network repair: the insurer may pay the admissible amount directly to the network garage; the insured pays deductible, depreciation/non-covered items and other customer contribution.

10.3 Reimbursement: where the insured pays the repairer, reimbursement is limited to the admissible assessed amount supported by acceptable evidence.

10.4 Disputed quantum: the insurer should clearly communicate the basis for material deductions and provide a review/grievance route.

11. Customer Duties and Insurer Rights

11.1 The insured must provide truthful and complete material information and preserve reasonable evidence of the loss.

11.2 The insurer may inspect the vehicle, obtain estimates, appoint a licensed surveyor/loss assessor where required, seek expert opinions, validate repair necessity and check documents for authenticity.

11.3 The insurer may recover from responsible third parties after indemnifying the insured, to the extent permitted by law and policy terms.

11.4 ClaimIQ outputs, if used, are decision-support inputs only and do not vary the contract or bind the insurer.

12. Grievance and Review

12.1 The insured may request a claim review where coverage, quantum, depreciation, repair methodology or documentation is disputed. The insurer should provide a reasoned response and route unresolved grievances through its formal grievance mechanism and external avenues available under applicable insurance law/regulation.

12.2 Automated or AI-assisted decisions must be reviewable by an authorized human claims officer.

Appendix A - ClaimIQ Machine-Readable Rule Summary

Rule ID	Rule	Value / Logic	Source clause
PA-DEP-PLASTIC	Plastic/rubber/nylon depreciation	50%	4.1
PA-DEP-FIBRE	Fiberglass depreciation	30%	4.1
PA-DEP-GLASS	Glass depreciation	0%	4.1
PA-DEP-AGE	Other-part depreciation	0/5/10/15/25/35/40/50% by age	4.1
PA-PAINT	Paint depreciation	50% of material; material=25% of consolidated paint bill if not split	4.2
PA-CTL	Constructive total loss trigger	Reasonable retrieval + repair cost >75% of IDV	5.3
PA-TYRE	Tyre/tube damage	Standalone excluded; if concurrent vehicle damage, max 50% replacement cost unless endorsed	8
PA-DED	Deductible	Schedule amount; demo default ₹1,000/₹2,000 by engine band	2.4
PA-HITL	Human review	AI recommendation cannot authorize claim	12.2

Drafting Basis and Regulatory References

This synthetic document is informed by public Indian motor-insurance materials and is intentionally re-written rather than copied. The following sources were used as drafting references for realism:

- Motor Vehicles Act, 1988, including statutory third-party insurance requirements.
- IRDAI-hosted Private Car Package Policy wordings, including own-damage perils, parts depreciation, painting treatment, CTL treatment and standard claim conditions.
- IRDAI (Protection of Policyholder's Interests, Operations and Allied Matters of Insurers) Regulations, 2024.
- IRDAI (Insurance Surveyors and Loss Assessors) Regulations, 2024 and related claims-governance principles.

Where this document specifies internal monetary thresholds, routing cut-offs, risk scores, service standards or approval levels, those values are synthetic insurer operating assumptions created for the ClaimIQ prototype and are not represented as IRDAI-prescribed thresholds.